📊 Candles + Volume: How to Read the Market (I)

1️⃣ What each component actually means (separate them first)

🟩 / 🟥 Candle body (price result)

- **Green** → buyers won the close
- **Red** → sellers won the close
- **Large body** → big price movement
- **Small body** → indecision

⚠️ **Candle size = price movement, NOT volume**

🕯️ Wicks (rejection)

- **Long lower wick** → buyers rejected lower prices
- **Long upper wick** → sellers rejected higher prices
- **No wick** → strong conviction in that direction

Wicks show **where price was rejected**, not who won.

📊 Volume bars (conviction)

- **High volume** → strong participation, institutions likely involved
- **Low volume** → weak conviction, retail / thin liquidity

Volume answers:

> "How serious was this move?"

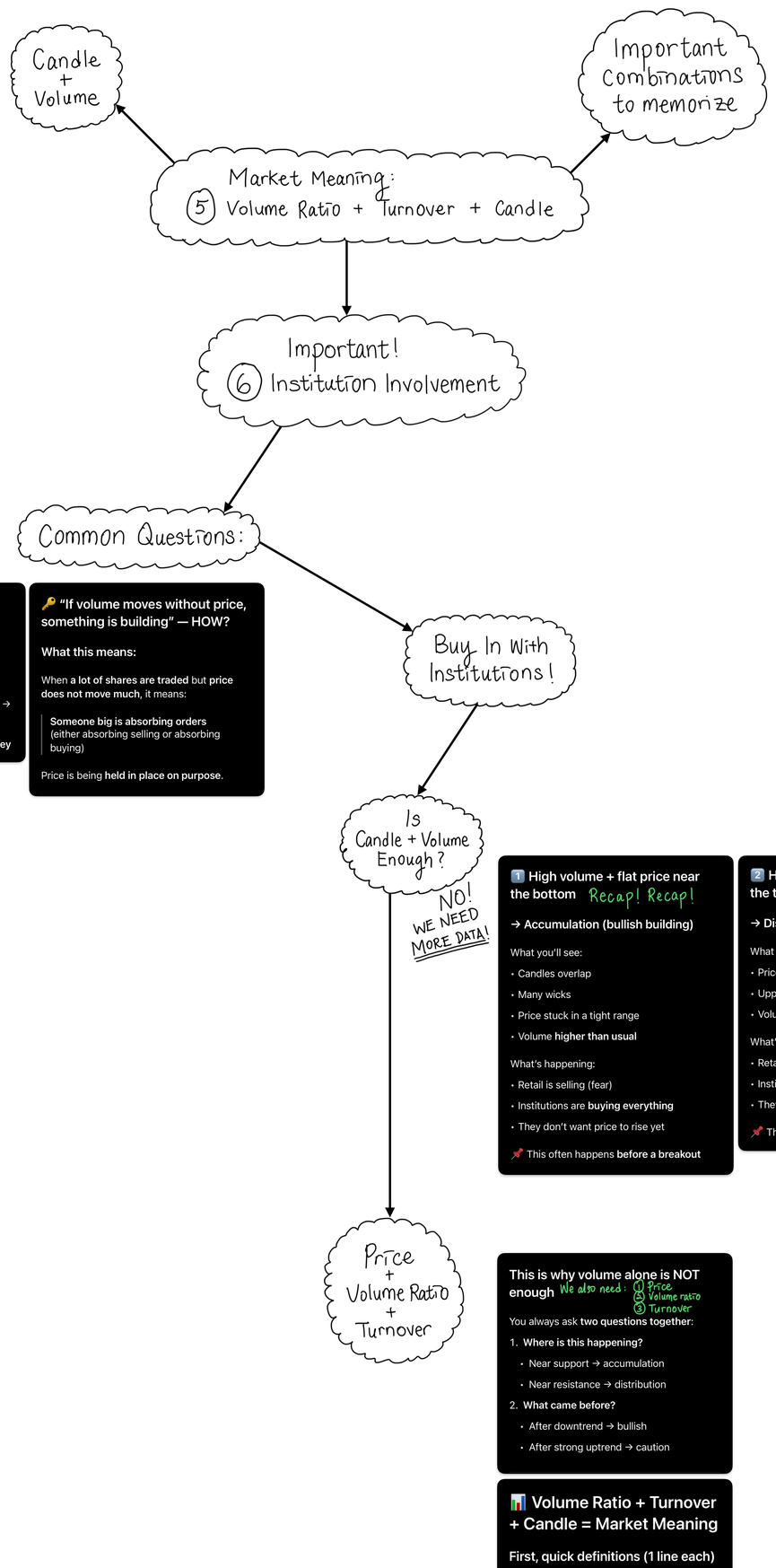
We will discuss in details!

2️⃣ The Golden Rule (memorize this) (II)

Note!!!

> **Price tells you WHAT happened**
> **Volume tells you HOW IMPORTANT it was**

Never read price without volume.



🧠 Why price doesn't move even with high volume

Think of price like a door and volume like people pushing it.

- Small people push → door moves easily
- Many people push but door doesn't move → **Someone strong is holding it**

That "someone" = **institutions / smart money**

🔑 "If volume moves without price, something is building" — HOW?

What this means:

When **a lot of shares are traded** but **price does not move much**, it means:

> **Someone big is absorbing orders**
> (either absorbing selling or absorbing buying)

Price is being **held in place on purpose**.

3️⃣ The 6 most important combinations (III)

✅ 1. Green candle + rising volume

Strong bullish

- Buyers in control
- Trend continuation or breakout likely

⚠️ 2. Green candle + falling volume

Weak bullish

- Price rising but conviction is fading
- Often near resistance or end of move

❌ 3. Red candle + rising volume

Strong bearish

- Distribution or panic selling
- Institutions exiting

⚠️ 4. Red candle + falling volume

Weak bearish

- Sellers losing strength
- Often happens near support

🎧 5. Long lower wick + low/medium volume

Support test

- Buyers defended
- Not ready to rally yet
- Watch next candle

🚫 6. Big candle + low volume

Unstable move

- Liquidity-driven, not conviction-driven
- Often retraces

4️⃣ How to read candles near key levels (very important) (IV)

At support:

- Long lower wicks ✓
- Red candles with **shrinking volume** ✓
- Volume spike + green follow-through = BUY SIGNAL

At resistance:

- Long upper wicks ✓
- Green candles with **shrinking volume** ✓
- Volume spike + red follow-through = SELL SIGNAL

5️⃣ Volume expansion rules (simple & correct) (V)

- **You WANT**:
 - Green candles → volume increasing
 - Red candles → volume decreasing
- **You DON'T want**:
 - Green candles → volume dropping
 - Red candles → volume exploding

That tells you **who is in control**.

6️⃣ One-line decision guide (use this daily) (VI)

Price Action	Volume	Meaning
Up	Rising	Strong bullish
Up	Falling	Weak rally
Down	Rising	Strong bearish
Down	Falling	Selling pressure weakening
Long wick	Low	Rejection, watch next
Big candle	Low	Fake / unstable move

7️⃣ Final mental model (lock this in) (VII)

> **Candles show the battle result**
> **Wicks show rejection**
> **Volume shows commitment**

If price moves **without volume**, don't trust it.
If volume moves **without price**, something is building.

🧠 TOP → DOWN FILTER

1. **Fundamentals** → "Should I own this at all?"
2. **Trend** → "Is the big trend up?" (MA200)
3. **Location** → "Am I buying a pullback, not the top?" (MA10/50)
4. **Timing** → "Are buyers actually stepping in?" **(candles + volume)**

Important!
Candle + Volume

1️⃣ High volume + flat price near the bottom

Recap! Recap!

→ Accumulation (bullish building)

What you'll see:

- Candles overlap
- Many wicks
- Price stuck in a tight range
- Volume **higher than usual**

What's happening:

- Retail is selling (fear)
- Institutions are **buying everything**
- They don't want price to rise yet

📌 This often happens **before a breakout**

2️⃣ High volume + flat price near the top

→ Distribution (bearish building)

What you'll see:

- Price can't break higher
- Upper wicks
- Volume increases but price stalls

What's happening:

- Retail is buying (FOMO) ↗ Fear of missing out
- Institutions are **selling into strength**
- They cap price to exit quietly

📌 This often happens **before a drop**

3️⃣ How to confirm what is building (very important)

You **cannot know immediately** — confirmation comes from **what happens next**.

If next candles:

- 🔼 Break up with **volume expansion** → accumulation confirmed → bullish
- 🔽 Break down with **volume expansion** → distribution confirmed → bearish

So:

> **Volume builds first, price moves later**

✅ 5️⃣ Price–Volume Confirmation (Candle + Volume)

> **Enter only when price action and volume agree**

What this means in practice:

✅ Bullish confirmation

- Green candle **with higher-than-average volume**
- OR small candles with **rising volume near support**
- OR long lower wicks + declining red volume (selling pressure weakening)

📌 Interpretation: **buyers are in control or accumulating**

❌ No entry / wait

- Big red candles with **increasing volume**
- Green candles but **shrinking volume**
- High volume but price stuck **below key MAs**

📌 Interpretation: **distribution or fake bounce**

Where this sits in your logic (very important)

Your flow should be:

🧠 TOP → DOWN FILTER

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This is why volume alone is NOT enough

We also need: ① Price ② Volume ratio ③ Turnover

You always ask **two questions together**:

1. **Where is this happening?**
 - Near support → accumulation
 - Near resistance → distribution
2. **What came before?**
 - After downtrend → bullish
 - After strong uptrend → caution

📊 Volume Ratio + Turnover + Candle = Market Meaning

First, quick definitions (1 line each)

- **Volume Ratio (VR)**
 → How active today is vs normal days
- **Turnover (%)**
 → How much of the company's shares changed hands today
- **Candle color**
 → Who won the close (buyers vs sellers)

Interpretation Table

Volume Ratio	Turnover	Candle	Institutional Involvement	Meaning	What You Should Do
< 1.0	< 0.5%	Any	❌ None / Retail	Quiet, low interest	Ignore / Wait
< 1.0	> 1.5%	Mixed	🟡 Yes (Rotation)	Institutions active but calm	Watch, don't rush
1.0–1.5	0.5–1.5%	🟢	🟡 Moderate	Normal accumulation	OK to scale in
1.5–2.0	> 1.5%	🟢	✅ Strong	Institutions buying	Buy / Add
> 2.0	> 2.0%	🟢	🔥 Very Strong	Mark-up / Breakout	Buy (momentum)
> 1.5	> 1.5%	🔴	⚠️ Strong (Selling)	Distribution	Do NOT buy
< 1.0	> 2.0%	🔴 with lower wick	🟡 Defense	Institutions defending	Wait for confirmation
High	High	Small candles	🎧 Absorption	Accumulation / Distribution	Prepare, don't chase

🎯 Practical rules you can memorize

✅ Strong BUY signals

- 🟢 Candle
- Volume Ratio > 1.5
- Turnover > 1%
- Price near support / VWAP / MA

➡️ **Institutions are buying**

⚠️ WATCH / WAIT signals

- Mixed candles
- Volume Ratio ~1
- Turnover **high**
 ➡️ Institutions are **rotating**, not committing yet

❌ AVOID signals

- 🔴 Candle
- Volume Ratio **rising**
- Turnover **high**
 ➡️ Institutions are **selling into liquidity**

🧠 One-sentence master rule (save this)

> **Volume Ratio tells me if today matters.**
> **Turnover tells me if big money is involved.**
> **Candle tells me who won.**

If all three align → act
If not → wait